After Black Monday

(1987)

George Soros

The stock market crash of 1987 was an event of historical significance for the world economy. The crashes of 1893, 1907, and 1929 were comparable, but the 1929 plunge is the most widely known and in many ways the most relevant. In drawing the comparison, however, care must be taken not to confuse the crash itself with its aftermath.

In the crash of October 1929, prices on the New York Stock Exchange fell by about 36 per cent, as measured by the Dow Jones industrial average; this figure is almost identical with the loss that occurred in October 1987. After the 1929 fall, stocks recovered nearly 50 per cent of their losses and then declined by another 80 per cent in the long-drawn-out bear market from 1930 to 1932. It is that bear market, associated with the Great Depression, that preys on the public imagination. Precisely because it is so well remembered, history is not likely to repeat itself. The U.S. government's immediate reaction to the 1987 crash already has borne out this contention. After 1929 the monetary authorities made a momentous mistake by supplying too little liquidity, thus failing to counter a drop in the money supply. The danger now is that the pressures of avoiding a recession, especially strong in a presidential election year, will lead the authorities